WHAT YOU'LL GET

NPS

- Let's assume a government employee joined the NPS in 2004 with ₹10 lakh annual salary (including DA), and had a 10% raise every four years
- Given standard contributions and 8.5% interest earned over 20 years, the NPS corpus will be worth ₹1.49 crore in 2024
- Assuming an annuity for 30 years at 6% interest, monthly pension will be ₹**85,281**

OPS

- The employee's last-drawn salary in 2024 would be ₹16.1 lakh: ₹10.73 lakh basic pay plus its 50% (₹5.37 lakh) as DA
- The pension would have been 50% of the basic pay plus DA, which is ₹**89,472** per month

UPS

- The fixed pension will be 50% of last 12 months' average basic pay: ₹**67,104** per month. **Plus, a variable component** will be added through the NPS

funding by the government but also retains the member's contribution. The final pension will have a guaranteed component like the OPS, which will be 50 per cent of the average basic pay of the last 12 months of employment, and a variable component like the NPS. Additionally, it provides for inflation indexation, family pension and minimum pension just like the OPS (see *Comparing the Three Schemes*). Details on how the variable component can be withdrawn and taxation will become clear once the operational framework is released. Unfortunately, newly retired members may not be that lucky, but for those who will retire once the UPS comes into play, the retirement is likely to be less stressful. ■

The author is a PFRDA-registered retirement advisor

E-COMMERCE

GOYAL FINDS AN AMAZONIAN CHALLENGE

By M.G. Arun

Nearly five years after the Centre brought in norms to rein in multinational e-commerce companies operating in India, Union commerce minister Piyush Goyal sparked fresh controversy by raising concerns over the rapid expansion of e-commerce. He also drew attention to the pricing strategies used by some e-commerce firms, questioning what he termed "predatory pricing".

"Are we going to cause huge, social disruption with this massive growth of e-commerce? I don't see it as a matter of pride that half our market may become part of the e-commerce network 10 years from now; it is a matter of concern," Goyal said at an event in New Delhi last week.

His comments come at a time when the e-commerce business in India is growing exponentially. Estimated at $83 billion (around Rs 7 lakh crore) as of FY22, the market is expected to grow to $150 billion (Rs 12.6 lakh crore) by FY26. The growth will be due to multiple levers: a growing middle class, rising internet penetration, the proliferation of smartphones, convenience of online shopping and increasing digitisation of payments. The overall Indian retail market was pegged at $820 billion (Rs 69 lakh crore) in 2023, according to a report published by the Boston Consulting Group and the Retailers Association of India. E-commerce still comprises only about 7 per cent of that, as per Invest India.

The Indian e-commerce market is dominated by global giants, including Amazon and Walmart (which took over Flipkart in 2018). They, along with domestic players, offer huge discounted prices compared to retail prices, which drives online sales significantly. In FY23, Amazon Seller Services and Flipkart posted Rs 4,854 crore and Rs 4,891 crore losses, respectively. Goyal's argument is that these losses are due to their predatory pricing.

"Is predatory pricing policy good for the country?" Goyal asked, while stressing the need for a balanced evaluation of e-commerce's effects, particularly on traditional retailers such as restaurants, pharmacies and local stores. "I'm not wishing away e-commerce—it's there to stay," he said. Later, he said e-commerce uses technology that aids convenience. But there are 100 million small retailers whose livelihood depends on their businesses.



"I don't see it as a matter of pride that half our market may become part of the e-commerce network 10 years from now.... Is predatory pricing policy good for the country?"

PIYUSH GOYAL,
Union Minister of Commerce & Industry

The Centre has specific laws that permit foreign direct investment (FDI) in e-commerce exclusively for business-to-business (B2B) transactions. However, according to Goyal, these laws have not been followed entirely in letter and spirit. Currently, India does not allow FDI in the inventory-based model of e-commerce, where e-commerce entities own and directly sell goods and services to consumers (B2C). FDI is permitted only in firms operating through a marketplace model, where an e-commerce entity provides a platform on a digital or electronic network to facilitate transactions between buyers